

24STCV09117 24STCV09117

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Case Number: 24STCV09117 Hearing Date: September 23, 2026 Dept: 11

Preliminary Approval of Class Action

Settlement

Department SSC-11

Hon. Bruce Iwasaki

Lopez v. S&S Paving, Inc.

Case No.: 24STCV09117

Hearing:

September 23, 2026

TENTATIVE RULING

Continue for counsel to address the checklist items.

BACKGROUND

This is a wage and hour class action. Defendant runs a concrete and asphalt contracting company based in California.

On April 11, 2024, Plaintiff commenced this action by filing a class action complaint alleging causes of action against Defendant for (1) failure to pay minimum wage for all hours worked in violation of Labor Code sections 1194 and 1194.2, and the Applicable Wage Orders; (2) failure to pay proper overtime wages in violation of Labor Code sections 510, 1197, and 1198,

and the Applicable Wage Orders; (3) failure to provide compliant rest periods and pay missed rest break premiums in violation of Labor Code section 226.7 and the Applicable Wage Orders; (4) failure to provide compliant meal periods and pay missed meal period premiums in violation of Labor Code sections 226.7 and 512, and the Applicable Wage Orders; (5) failure to maintain accurate employment records in violation of Labor Code section 1174; (6) failure to pay timely wages during employment in violation of Labor Code sections 204, 210; (7) failure to pay all wages due and owing at separation in violation of Labor Code sections 201, 202, and 203; (8) failure to indemnify all necessary business expenditures; (9) failure to provide complete and accurate wage statements in violation of Labor Code sections 226 and 226.3; and (10) deceptive, fraudulent, or otherwise unlawful business practices based on the foregoing in violation of California's Unfair Competition Law (Bus. & Prof. Code, §§ 17200– 17210).

On June 26, 2024, Plaintiff filed a first amended complaint alleging causes of action against Defendant for those described in the original Complaint and adding one cause of action for penalties based on the foregoing pursuant to PAGA. (Lab. Code, §§ 2698–2699.6.)

On September 15, 2025, the Parties participated in mediation with Hon. Jan M. Adler. The Parties were able to reach the broad terms of an agreement, and after further negotiation, the Parties executed the longform Settlement Agreement. A fully executed copy of the Settlement Agreement is attached to the Declaration of Meghan Higday (“Higday Decl.”) as Exhibit A.

Now before the Court is the Motion for Preliminary Approval of the Settlement Agreement.

SETTLEMENT CLASS DEFINITION

· “Settlement Class” shall mean all individuals who are or were employed by Defendants as nonexempt employees in California during the Class Period. Defendant represents that the Settlement Class consists of approximately 102 Class Members that worked a total of approximately 6,668 workweeks during the Class Period. (¶1.39)

o “Class Period” shall mean the period from April 11, 2020, through the date of preliminary approval of the settlement. (¶1.10)

· "PAGA Settlement Class" shall mean all individuals who are or were employed by Defendants as non-exempt employees in California during the PAGA Period. Defendant represents that the PAGA Settlement Class consists of approximately 68 employees that worked a total of approximately 3,175 pay periods during the PAGA Period. (¶1.30)

o "PAGA Period" shall mean the period from April 11, 2023, through the date of court approval of the settlement. (¶1.29)

· The parties stipulate to certification for purposes of settlement. (¶3)

TERMS OF SETTLEMENT AGREEMENT

The essential terms are as follows:

· The Gross Settlement Amount ("GSA") is \$85,000, non-reversionary. (¶5.1)

o Escalator Clause: If the number of workweeks worked by the Class Members is greater than 10% above that estimated by Defendant(s), then the portion of the GSA attributable to non-PAGA claims (i.e., the GSA less the PAGA penalties) shall either be (a) increased proportionately for each additional Workweek above the 10% buffer or (b) Defendant may shorten the release period so that there is no increase in the amount above the 10%. If the number of pay periods worked by the Aggrieved Employees is greater than 10% above that estimated by Defendant(s), then the portion GSA attributable to PAGA claims (i.e., the PAGA penalties) shall either be (a) increased proportionately for each additional Workweek above the 10% buffer or (b) Defendant may shorten the release period so that there is no increase in the amount above the 10%. If this provision is triggered so as to increase the GSA, the Parties agree that the portion of the GSA allocated to attorneys' fees will increase proportionally such that the total amount of attorneys' fees remains one-third of the GSA after the upward adjustment required by this provision is implemented. (¶9.2)

· The Net Settlement Amount ("Net") (\$20,796.67) is the GSA minus the following:

o Up to \$28,333.33 (33 1/3%) for attorney fees (§5.7);

o Up to \$15,000 for litigation costs (Ibid.);

o Up to \$7,500 for a Service Payment to the Named Plaintiff (§5.2);

Up to \$6,995 for settlement administration costs (§7.1);
and

Payment of \$6,375 (75% of \$8,500 PAGA Payment) to the LWDA. (§1.28)

Employer's taxes shall be separately paid by Defendant. (§1.19)

· No claim form is required. (§7.3)

· Funding of Settlement: Defendant shall deposit the Gross Settlement Amount in a lump sum payment plus the employer-side payroll taxes to the Settlement Administrator within seven (7) days of the Effective Date. In no event shall Defendant be obligated to pay or deposit with the Settlement Administrator more than \$85,000.00 plus the Employer's Taxes, except where the Escalator Provision is triggered. (§6.2)

· Distribution: The Settlement Administrator shall distribute to Class Counsel any attorney fees and expenses approved by the Court no later than fourteen (14) days after the Effective Date. (§8.4) This deadline also applies to Plaintiff's incentive award, the PAGA payment, and Individual Settlement Amounts. (§§8.5-8.7)

· Individual Settlement Payment Calculation: Each Class Participant shall be eligible to receive payment of the Individual Settlement Amount, which is a share of the Net Settlement Amount based on the pro rata number of weeks worked by the Class Members during the Class Period as a proportion of all weeks worked by all Class Members. (§5.3.)

o

PAGA Payments: The portion of the PAGA Payment allocated to the PAGA Settlement Class shall be distributed to the PAGA Settlement Class based on the pro rata number of pay periods worked by each

particular PAGA Settlement Class member during the PAGA Period as a proportion of all pay periods worked by all members of the PAGA Settlement Class. (§5.4)

o Tax Allocation: Individual Settlement Payments will be allocated as follows: 20% as wages, 80% as interest and penalties. PAGA penalties will be reported on IRS Form 1099. (§5.5)

·
“Response Deadline” shall mean the date forty-five (45) days following the date on which the Settlement Administrator first mails Class Notice to the Class Members and the last day on which Class Members may submit a request for exclusion and/or objection to Class Settlement. (§1.37)
Class Members whose notices are re-mailed shall have an additional fourteen (14) days from the date of the mailing of the second Class Notice in which to Opt Out, object, or dispute the information provided in the Share Form if the Response Deadline would have otherwise passed prior to fourteen (14) days from the date of the mailing of the second Class Notice. (§7.3) The same deadlines apply to the submission of workweek disputes. (§8.9)

o If 10% or more members of the Settlement Class timely submit Opt Out requests, Defendant shall have the right (but not the obligation) to void this MOU. (§9.2)

· Uncashed Settlement Checks: Any funds associated with checks that have not been cashed within one hundred eighty (180) days, will become void and the Individual Settlement Amount associated with the uncashed check will be remitted pursuant to Code of Civil Procedure section 384 to the California State Controller for deposit in the Unclaimed Property Fund in the name of the individual whose check was uncashed. The Parties agree that this disposition results in no “unpaid residue” within the meaning of California Civil Procedure Code section 384, as the entire Net Settlement Amount will be paid out to Class Participants, whether or not they all cash their Individual Settlement Amount checks. Therefore, Defendant shall not be required to pay any interest on said amount. For the purposes of determining whether Defendant has met their financial obligation to pay the Individual Settlement Payment, Defendant will be deemed to have fulfilled its obligation upon the mailing of the check to the Class Member, regardless of whether such Class Member subsequently negotiates the check. (§8.8)

· The settlement administrator will be Phoenix Settlement

Administrators. (¶1.38)

· The proposed settlement was submitted to the LWDA on March 4, 2026. (Higday Decl., Exhibit C.)

· Participating class members and the named Plaintiff will release certain claims against Defendants.
(See further discussion below)

ANALYSIS OF SETTLEMENT AGREEMENT

1. Does
a presumption of fairness exist?

1. Was the settlement reached through arm's-length bargaining? Yes. On September 15, 2025, the Parties participated in mediation with Hon. Jan M. Adler. The Parties were able to reach the broad terms of an agreement, and after further negotiation, the Parties executed the longform Settlement Agreement. (Higday Decl. ¶24.)

2. Were investigation and discovery sufficient to allow counsel and the court to act intelligently? Yes. Class Counsel represents that prior to the mediation, Plaintiff's counsel conducted significant formal and informal discovery. Discovery, investigation, and prosecution has included, among other things, numerous telephonic conferences with Plaintiff; inspection and analysis of hundreds of pages of documents, including Defendant's relevant policies and employee handbook, and other information produced by Plaintiff and Defendant; analysis of work-related data from a sample of Class Members and Aggrieved Employees; an analysis of the legal positions taken by Defendant; investigation into the viability of class treatment of the claims asserted in the action; analysis of potential class-wide damages, including information sufficient to understand Defendant's potential defenses to Plaintiff's claims; research of the applicable law with respect to the claims asserted in the Operative Complaint and the potential defenses thereto; and assembling and analyzing of data for calculating damages. Defendant also produced financial documents, which Plaintiff's counsel reviewed, to support their inability to pay argument. (Id. at ¶22.) Among other key pieces of information, Plaintiff's counsel requested in its informal discovery letter the wage statements and time records for a statistically significant sample size of Class Members during the Class Period. Defendant produced wage statement and timesheet records for 100% of the class from April 11, 2020, through

approximately August 2025, which the Parties feel confident is sufficient sampling of the Class, with a high degree of confidence for Plaintiff's statistical analysis. This sampling included payroll records and timesheets for the Class Members' shifts during the Class Period. From these records, Plaintiff was able to carefully craft a damages model for each of the categories of alleged claims for which the data would reflect violations. (Id. at ¶23.)

3. Is counsel experienced in similar litigation? Yes. Class Counsel is experienced in class action litigation, including wage and hour class actions. (Id. at ¶¶8-13.)

4. What percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.").

CONCLUSION: The settlement is entitled to a presumption of fairness.

2.

Is the settlement fair, adequate, and reasonable?

1. Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiff on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Here, Class Counsel has provided information, summarized below, regarding the estimated values of the class claims alleged:

Violation

Maximum

Exposure

Discounted

Exposure

Unpaid Minimum Wages

\$17,263.45

\$6,042.21

Unpaid Overtime Wages

\$77,685.53

\$11,652.83

Rest Break Violations

\$517,903.56

\$25,895.18

Meal Break Violations

\$345,269.04

\$34,526.90

Waiting Time Penalties

\$173,980.80

\$26,097.12

Business Expenses

\$50,010.00

\$17,503.50

Wage Statement

Violations

\$408,000.00

\$61,200.00

PAGA

\$22,225.00

\$22,225.00

TOTAL

\$1,612,337.38

\$205,142.74

(Higday

Decl. ¶¶ 28-54.)

2.

Risk, expense, complexity and likely duration of further litigation. Given the nature of the class claims, the case is likely to be expensive and lengthy to try. Procedural hurdles (e.g., motion practice and appeals) are also likely to prolong the litigation as well as any recovery by the class members.

3. Risk of maintaining class action status

through trial. Even if a class is

certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th

1213, 1226 (“Our Supreme Court has recognized that trial courts

should retain some flexibility in conducting class

actions, which means, under suitable circumstances,

entertaining successive motions on certification if the court subsequently discovers

that the propriety of a class action is not appropriate.”).)

4. Amount offered in settlement. Plaintiff’s counsel obtained

a \$85,000 non-reversionary settlement. This is approximately 5.3% to 41.4% of Defendant’s maximum exposure which, given the uncertain outcomes, is within the “ballpark of reasonableness.”

The

\$85,000 settlement amount, after reduced by the requested deductions, leaves approximately \$20,796.67 to be divided among approximately 102 class members. Assuming full participation, the resulting payments will average approximately \$203.89 per class member.

5. Extent

of discovery completed and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel had conducted sufficient discovery.

6. Experience

and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, is experienced in class action litigation, including wage and hour class actions.

7. Presence of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the

proposed settlement. The class members' reactions will not be known until they receive notice and are afforded an opportunity to object, opt-out and/or submit claim forms. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed "fair, adequate, and reasonable."

3.

Scope of the release

Release of Claims by the

Settlement Class. Upon the Effective Date, the Releasing Parties shall be deemed to each release the Released Parties, and each of them, of and from any and all Released Claims arising during the Class Period. It is the desire of the Parties and the Releasing Parties to fully, finally, and forever settle, compromise, and discharge the Released Claims. Each of the Releasing Parties, including each Class Participant, will be bound by the release of Released Claims as a result of the Class Settlement and to the terms of the final judgment and the satisfaction of such judgment. Class Participants will be deemed to have acknowledged and agreed that their claims for wages and/or penalties in the Action are disputed, and that their Individual Settlement Amount constitutes payment of all sums allegedly due to them. Class Participants

will be deemed to have acknowledged and agreed that California Labor Code section 206.5 is not applicable to the Individual Settlement Amount. That section provides in pertinent part as follows: "An employer shall not require the execution of a release of a claim or right on account of wages due, or to become due, or made as an advance on wages to be earned, unless payment of those wages has been made." (§11.1)

· "Released Claims" shall mean those claims arising out of or related to the allegations set forth in the Complaint and/or PAGA notice to the LWDA, which arose during the Class Period, including claims for: (1) failure to pay minimum wage for all hours worked in violation of Labor Code sections 1194 and 1194.2, and the Applicable Wage Order; (2) failure to pay proper overtime wages in violation of Labor Code sections 510, 1197, and 1198, and the Applicable Wage Order; (3) failure to provide compliant rest periods and pay missed rest break premiums in violation of Labor Code section 226.7 and the Applicable Wage Order; (4) failure to provide compliant meal periods and pay missed meal period premiums in violation of Labor Code sections 226.7 and 512, and the Applicable Wage Order; (5) failure to maintain accurate employment records in violation of Labor Code section 1174; (6) failure to pay timely wages during employment in violation of Labor Code sections 204, 210; (7) failure to pay all wages due and owing at separation in violation of Labor Code sections 201, 202, and 203; (8) failure to reimburse business expenses in violation of Labor Code sections 2802 and 2804; (9) failure to provide complete and accurate wage statements in violation of Labor Code sections 226 and 226.3; (10) deceptive, fraudulent, or otherwise unlawful business practices based on the foregoing in violation of California's Unfair Competition Law (Bus. & Prof. Code, §§ 17200–17210); (11) statutory penalties based on the foregoing pursuant to PAGA (Lab. Code, §§ 2698–2699.6); and (12) all claims for liquidated damages, penalties, interest, fees, costs based on the foregoing. No other claims are released other than those claims specifically plead in the Complaint or otherwise specifically identified herein. This Settlement Agreement will not release any person, party, or entity from claims, if any, by Class Members for workers compensation, unemployment, or disability benefits of any nature. Nor does it release any claims, actions, or causes of action which may be possessed by Class Members under state or federal discrimination statutes, including, without limitation, the California Fair Employment and Housing Act (Gov. Code, §§ 12900–12996); the Unruh Civil Rights Act (Civ. Code, § 51); the California Constitution; Title VII of the Civil Rights Act of 1964 (42 U.S.C. § 2000, et seq.); the Americans with Disabilities Act (42 U.S.C. § 12101, et seq.); the Employee Retirement Income Security Act of 1974 (29 U.S.C. § 1001 et seq.); and all of their implementing regulations and interpretive

guidelines. (¶1.34)

· “Released Parties” shall mean Defendant and all of Defendant’s subsidiaries, affiliates, shareholders, members, agents, predecessors, successors, and assigns. (¶1.35)

· Named Plaintiff will additionally provide a general release and §1542 waiver. (¶11.2)

4.

May conditional class certification be granted?

1. Standards

A detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (Amchem Products, Inc. v. Winsor (1997) 521 U.S. 620, 622-627.)

The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification. Specifically, a lesser standard of scrutiny is used for settlement cases. (Dunk at 1807, fn 19.) Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (Wershba at 240.)

2. Analysis

a. Numerosity. There are approximately 102 class members. (MPA ISO Prelim, 22:9-14.) This element is met.

b. Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (Sevidal v. Target Corp. (2010) 189 Cal.App.4th 905, 919.) The class members are identifiable from Defendant’s records. (MPA ISO Prelim, 22:9-14.)

c. Community of interest. “The community of interest requirement involves three factors: ‘(1) predominant common questions of law or fact; (2) class representatives with claims or defenses

typical of the class; and (3) class representatives who can adequately represent the class.” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As

to commonality, Counsel contends that common legal and factual questions exist, such as (a) whether individuals working for Defendant were subject to unlawful wage-and-hour policies and/or practices under the California Labor Code; (b) whether these violations triggered derivative claims for penalties; and (c) whether Defendants’ violations were knowing or willful. (MPA ISO Prelim, 22:18-25.)

As

to typicality, Counsel contends that Plaintiff’s claims are typical of the Class Members because they were subject to Defendants’ policies and practices described above in Plaintiff’s analysis of the claims and defenses, which were consistently applied class-wide to all Employees. (MPA ISO Prelim, 23:3-7.)

As

to adequacy, Plaintiff asserts that he understood his duties as a class representative, has been willing to undergo the risk of litigation, and has no conflict of interest with the other Class Members. (MPA ISO Prelim, 23:9-24; Declaration of Plaintiff Luis Herminio Vanegas Lopez, passim.)

d. Adequacy of class counsel. As indicated above, Class Counsel has shown experience in class action litigation, including wage and hour class actions.

e. Superiority. Given the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION: The class may be conditionally certified since the prerequisites of class certification have been satisfied.

5.

Is the notice proper?

1. Content of class notice. The proposed notice

is attached to the Settlement Agreement. Its content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions

from the gross settlement amount (attorney fees and costs, enhancement awards, and administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing. [oral objections and opt-out language] [change of hearing date/time]

2. Method of class notice. Within fourteen (14) days after the Preliminary Approval Date, Defendant shall provide the Settlement Administrator with an updated list of Class Members and members of the PAGA Settlement Class containing names, social security numbers, dates of employment, last-known addresses, and phone numbers (the "Database"). Within twenty-eight (28) days following the Preliminary Approval Date, the Settlement Administrator shall determine the number of workweeks worked by each Class Member, populate the data for each Class Member accordingly, and send each Class Member the Class Notice via first-class, United States mail. (§7.2) If prior to the Response Deadline any Class Notice mailed to a Class Member is returned as having been undelivered by the United States Postal Service, the Settlement Administrator shall perform a skip trace search and seek an address correction for such Class Members, and a second Class Notice will be sent to any new or different address obtained. Such Class Members shall have an additional fourteen (14) days from the date of the mailing of the second Class Notice in which to Opt Out, object, or dispute the information provided in the Share Form if the Response Deadline would have otherwise passed prior to fourteen (14) days from the date of the mailing of the second Class Notice. It will be presumed that, if an envelope containing the Class Notice has not been returned within thirty (30) days of the mailing, the Class Member received the Class Notice. (§7.3)

Notice

of Final Judgment will be posted on the Settlement Administrator's website. (§7.5)

English only?

3. Cost of class notice. As indicated above, settlement administration costs are estimated not to exceed \$6,995. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

6.

Attorney fees and costs

CRC rule

3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The

question of whether Class Counsel is entitled to \$28,333.33 (33 1/3%) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel.

Class Counsel should also be prepared to justify the costs sought (capped at \$15,000) by detailing how they were incurred.

7.

Incentive Award to Class Representative

The

Settlement Agreement provides for an enhancement award of \$7,500 to Named Plaintiff.

In

connection with the final fairness hearing, the named Plaintiff must submit a declaration attesting to why he should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.)

Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiffs, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement award at the time of final approval.

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LOS
ANGELES SUPERIOR COURT, COMPLEX CIVIL DEPARTMENT

CHECKLIST
FOR

PRELIMINARY
APPROVAL OF CLASS ACTION SETTLEMENT

Department:
SSC-11

RE: Lopez v. S&S Paving,
Inc. (Case No. 24STCV09117)

In reviewing your motion
for preliminary approval of class action settlement, the Court orders further
briefing on the items checked below.

The additional briefing

shall be due by _____, 2026. Note: if briefing is not filed by said date the hearing will be placed off calendar. Your hearing date set for _____, is continued to the first available date of _____ at _____ in Department 11.

This checklist

provides direction on what information and argument the court requires to grant a motion for preliminary approval of a class action settlement. All parties are urged to carefully review the checklist and fully comply with each item that applies to the case in order that the motion may be promptly ruled upon. The content of the motion should follow the same order as this checklist, as that is how the judge and research attorney review the motion.

You should also consider using the form wage and hour settlement agreements now available on the court's website at <https://www.lacourt.org/forms/all> – "Civil Forms" section. With input and unanimous consensus from an Ad Hoc Wage and Hour Committee (chaired by Judge Hogue and Judge Cunningham and comprised of 8 plaintiff's attorneys and 8 defense attorneys), the court has posted: (1) a form class action settlement agreement, (2) a form class action/PAGA settlement agreement, (3) and a form PAGA settlement agreement.

Using these forms should cut down on attorney negotiation time and reduce the lag time between a successful mediation and execution of a long form agreement. Filing a motion that is based on a form agreement and includes a redlined copy identifying modifications will also expedite the court's review process and help reduce the current backlog on hearings. These forms are encouraged but entirely optional.

I.

MOVING PAPERS (Motion and Declarations)

All facts

submitted for the court to consider must be provided in the form of a declaration or other admissible evidence. The court will not consider facts stated only in the motion.

A. Introductory Information

¿ Summary

of the litigation, including identity of the parties, brief procedural history, claims asserted, and general factual basis for the claims.

B. Dunk/Kullar Analysis

¿ Summary

of the case, including the legal and factual basis for each claim. (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 133 (Kullar); Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 409.)

¿ Summary of the

investigation and discovery conducted, including the specific documents reviewed prior to agreeing to settle the case. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802, as modified Sept. 30, 1996 (Dunk).) If counsel's analysis was informed by a data sample, show that the sample is statistically reliable.

¿ Summary of settlement

negotiations, including when the settlement was reached, and

whether the

parties were assisted by a mediator. (Dunk, supra, 48 Cal.App.4th at p. 1802.)

¿ A

summary of the risks, expenses, complexity, and duration of further litigation if the

settlement is not approved.

¿ A

summary of the risks of achieving and maintaining class action status.

¿

Specific information sufficient for the court to make an independent determination that the consideration being received for the release of class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation. (Kullar, supra, 168

Cal.App.4th at 129.)

This discussion should specify the maximum realistic recovery of each claim asserted in the operative complaint, defenses asserted by Defendant, and any other relevant factors justifying the amount offered in settlement. If the settlement is predicated on a payment plan or is predicated on defendant's financial situation, admissible evidence of Defendant's financial situation should be provided, including appropriate financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like. (Higday Decl., ¶22.)

¿ If

approval of the settlement of class claims is requested together with approval of non-class claims (such as claims under the Labor Code's Private Attorney General Act (PAGA)) discuss why the amount allocated to the non-class claims is fair to those affected. See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77 (Moniz).

C. Class

Certification

¿ Numerosity:

Total number of members in the settlement class and number of members in each sub-class (if applicable).

¿ Ascertainability:

The manner by which members of the class will be identified and when. (*Noel v. Thrifty Payless* (2019) 7 Cal.5th 955.)

¿

Community of Interest: Discuss specific facts showing the predominant common questions of law or fact, and that the proposed class representatives have claims or defenses typical of the class and can adequately represent the class. (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.)

¿

Adequacy:

Class Counsel: A summary of Class Counsels' experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See *Dunk*, supra, 48

Cal.App.4th at p. 1802.)

Class Representative(s): Provide evidence that each proposed class representative has agreed to act as same and understands his or her responsibilities. (See Soderstedt v. CBIZ Southern California, LLC (2011) 197 Cal.App.4th 133, 155-156; Jones v. Farmers Ins. Exchange (2013) 221 Cal.App.4th 986, 998-999).

D. Claim

Requirement (if applicable)

¿ If

class members are required to submit a claim to receive compensation, explain why a claim form is necessary and either 1) provide an estimate of the anticipated claims rate or 2) provide an explanation why a claims rate cannot be provided.

¿ Provide

a detailed explanation why a "claims made" settlement is appropriate in this case.

¿ Indicate

what actions class counsel will take to encourage claim submission.

¿ Explain

why the claims process is not so burdensome that relief would be inaccessible to class members (if applicable).

E. Miscellaneous

¿ If

appropriate, explain why the settlement includes terms that are outside the scope of the operative complaint. (Trotsky v. Los Angeles Fed. Savings & Loan Assn. (1975) 48 Cal.App.3d 134, 148.) If approval of settlement of a PAGA claim is requested provide a copy of Plaintiff's notice letter to the LWDA.

¿ If

notice will be given in English only, explain why this is sufficient.

¿ A

statement of any affirmative obligations to be undertaken by the class member or class counsel and the reason for such obligations.

¿ Provide

information regarding any fee splitting agreement and whether the client has given written approval. (Mark v. Spencer (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769.) Counsel has only provided that the client has given consent, but not any other information regarding the fee split.

¿

Any agreement that has injunctive relief against a class representative generally is not appropriate in a class action case. Provide the authority and factual reasons why this case is an exception. See Moniz, supra, 72 Cal.App.5th at 84. (“[T]he preclusive effect of a prior judgment is determined by the court in which it is asserted, not the court that rendered it.” (Fireside Bank Cases (2010) 187 Cal.App.4th 1120, 1131 [115 Cal. Rptr. 3d 80].))

¿ Explanation

as to why any class representative enhancement is reasonable, including what the class representative did beyond the expected services of any class representative. (Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 412; Radcliffe v. Experian Information Solutions Inc. (9th Cir. 2013) 715 F.3d 1157, 1165.) In PAGA settlements explanation should be provided as to why an incentive award is appropriate.

SETTLEMENT

AGREEMENT

The settlement

agreement should address the following:

A. The

Basics

¿ Class

definition. If a PAGA representative action is settled with a proposed Class Settlement consider whether there should be separate definitions for Class Members and Aggrieved Employees.

¿ Class and Release

Period: If the class and release periods extend beyond the preliminary approval explain why this is appropriate.

¿

Escalator Clause/Class Period: The escalator clause at Settlement Agreement ¶9.2 provides Defendant with the option to shorten the Class and PAGA Periods in lieu of increasing the Gross Settlement Amount. This should be confirmed prior to preliminary approval being granted and notice being distributed. Based on current records, the parties and/or administrator should review and verify the workweek total and confirm the end date of the Class and PAGA Period. Revise the agreement and notice if necessary.

B. Release of Claims

¿ Scope:

The scope of any release given by class members must be defined with precision and clarity. Any released claims not presented directly in the operative complaint should be based on the facts alleged in the operative complaint. (See *Amaro v. Anaheim Arena Mgmt.* (2021) 69 Cal. App. 5th 521, 537 and FN. 5; *Uribe v. Crown Building Maintenance Co.* 70 Cal. App. 5th 986, 1005.)

¿ Class cases which include a

PAGA claim should have a separate release for the PAGA claim tied to the facts alleged in the notice given to the LWDA. *Id.*

· The release at

Paragraph 9.2 is overbroad. Class members and PAGA members should have separate releases. The class released claims should be tied to the facts alleged in the Operative Complaint, and the PAGA release should be tied to the facts alleged in the PAGA Notice.

¿ If PAGA and Class

Settlement: The Release and Notice should provide an explanation that released claims include all PAGA claims that could have been premised on the facts alleged in the Plaintiff's LWDA Letter and aggrieved employees will release PAGA claims even if class members request exclusion from the class. See *Robinson v. Southern Counties Oil Co.* (2020) 53 Cal.App.5th 476.

¿ A Civil

Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (Israel-Curley v. California Fair Plan (2005) 126 Cal.App.4th 123, 129; Salehi v. Surfside III Condominium Owners' Assn. (2011) 200 Cal.App.4th 1146, 1159–1161.)

¿ Release

Effective Date: Indicate

the point in time at which the release will be deemed effective as to the absent class members. If the release will be effective before settlement funds are paid, explain why this is in the best interest of the class. (§11.1)

¿ Class

Data: If there are confidentiality provisions, explain why they are in the best interest of the Class and whether they will impede Class Counsel's ability to discharge fiduciary duties.

C. Monetary Terms of Settlement

¿

Settlement Amount: Indicate the amount of the gross settlement, how and when the

settlement will be paid, and information regarding payment plan, if any. If a class claim is being settled with a PAGA claim the amounts allocated should be separated and paid only to the aggrieved employees.

¿ Deductions from

the settlement fund: Indicate the amounts to be deducted from the gross settlement for attorneys' fees and costs, plaintiff incentive awards, administrative costs, PAGA payment and allocation of award to LWDA and the parties, and any other existing deductions.

¿ If

there are subclasses, explain why the monetary distribution is fair to each subclass. Ensure there is a class representative who fits the definition of each subclass.

¿

Information about how attorney fees will be calculated. The percentage method, with or without a lodestar cross-check, may be used in common fund cases. (*Laffitte v. Robert Half Internat., Inc.* (2016) 1 Cal.5th 480, 503.) In other cases, counsel should fully brief how the fees are calculated.

¿ If

wages are involved, explain how Defendant's share of taxes will be paid.

¿

Whether, and under what circumstances, amounts may revert to Defendant, and a

justification for such reversion (if applicable). (*Cundiff*

v. Verizon California, Inc. (2008) 167 Cal.App.4th 718, 728–729.)

¿ Payment

Formula: Amount and manner of distribution of the compensation to each class member, including the estimated amount each class member will receive and the timeline on which payments will be issued.

.

The calculations provided in Paragraphs 5.3-5.4 generally state that members will receive a pro rata share based upon their workweeks. Provide the actual payment formulas in both the Agreement and Notice.

¿ Tax

allocation of settlement payments.

¿ Nature

of injunctive relief (if any), and valuation of such relief.

D. Notice Administration

The following

issues regarding notice administration should be addressed in the settlement

agreement. A copy

of the proposed notice must be attached to the settlement agreement as an

exhibit.

¿ Indicate

the administrator for the settlement and why the bid for administration is fair.

¿ Provide

the qualifications and experience of the Administrator, including evidence that the settlement administrator has procedures in place to protect the security of class data and adequate insurance in the event of a data breach or defalcation of funds.

¿

Indicate how/when the administrator will receive the class list.

¿

Indicate whether the list will be updated by the administrator prior to the initial mailing by use of National Change of Address Registry.

¿ Provide

the deadline for the initial issuance of notice to class members.

¿ Ensure

the content of the notice complies with California Rules of Court, rule 3.766(d). In wage and hour cases the notice should indicate the specific amount the class member will receive and how that amount was calculated. A separate breakdown for PAGA payments should be provided. The terms of the release(s) should be reflected in the Notice.

.

Provide the estimated administration costs.

¿ Ensure

the notice accurately reflects the Court's current social distancing procedures for attendance at hearings and review of court files. (Counsel should check the Court website for most current information.)

¿ Indicate

how and when payments will be processed.

¿ Indicate

how notices returned to the administrator as undeliverable will be handled.

¿ Explain

how re-mailed notices, if any, will be handled. Will class members who receive re-mailed notices be given an extended deadline to respond (i.e., opt-out, object, and dispute workweeks)?

¿ Explain

how notice of any change of the date or location of the will hearing be given.

¿ Indicate

whether there will be a settlement website. If so, provide the URL.

¿ If

publication notice will be given indicate the timing, locations, and manner by which publication notice will be disseminated.

¿

Explain how notice of final judgment will be given to the class. (Cal. Rules of Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

E. Responses to Notice

¿

Description of the procedures for submitting written objections, requests for exclusion, claim forms (if applicable) and disputes to estimated payments.

¿

Indicate the deadline to submit objections, requests for exclusion, claim forms (if applicable), and/or disputes to workweeks. Confirm the deadline is reasonable and that class members who receive re-mailed notices will be given an extension.

¿ The

objection procedure should be the same as the opt-out procedure, with the only requirement being that objections be mailed to the settlement administrator and not filed with the court.

¿ Do not

include language indicating that class members may only be heard at final approval if they have complied with all objection procedures or that they must

use specific language to request exclusion, or, if a specific procedure is sought, explain why it is necessary. In general, the court will hear from any class member who attends the final approval hearing and asks to speak regarding his or her objection.

.

Ensure the Notice reflects that class members do not need to use specific language to opt-out.

.

Ensure the Notice reflects that class members may orally object at the final approval hearing regardless of submitting a written objection.

F. Cy Pres Distribution

¿ Indicate

the length of time from issuance for which settlement checks will remain valid.

¿ Identify

the fund to which uncashed checks will be directed and detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384. The Court's Omnibus Trailer Bill of 2018 replaced the language of the prior statutory distribution scheme under Code of Civil Procedure, section 384 with a requirement that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

¿ Explain

why the cy pres distribution fills the purposes of the lawsuit or is otherwise appropriate. (State of California v. Levi Strauss & Co. (1986) 41 Cal.3d 460, 472; In re Microsoft I-V Cases (2006) 135 Cal.App.4th 706, 722; Nachshin v. AOL, Inc. (9th Cir. 2011) 663 F.3d 1034, 1038–1041; Dennis v. Kellogg Co. (9th Cir. 2012) 697 F.3d 858, 865; Code Civ. Proc., § 384.)

¿ Provide

declarations by all parties and counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

G. MISCELLANEOUS

¿ Assure the Settlement Agreement and Notice are consistent and that the Settlement Agreement (including revised versions) has been signed by all parties and counsel. Carefully proofread both.

¿ The Settlement Agreement and paperwork derivative thereof should not suggest that the end result of court approval will be dismissal of the Action with prejudice or entry of a Final Judgment and Order dismissing with prejudice all claims. See California Rules of Court, rule 3.769(h).

III. EXHIBITS TO THE MOTION

¿ Provide proof of submission of the proposed settlement agreement to the LWDA. (Lab. Code, § 2699, subd. (l)(2).)

¿ Include a proposed Judgment, which should not include a dismissal or any findings not contained in the Final Approval Order. (Cal. Rules of Court, rule 3.769(h).)

¿ All exhibits should be bookmarked, as set forth in the Presiding Judge's First Amended General Order of May 3, 2019 re: Electronic Filing, available on the Court website.

If the Settlement Agreement is modified pursuant to this checklist, please submit both a red-lined copy showing changes made as well as a final version signed by all parties and counsel. Do not submit an addendum in lieu of a full amended settlement agreement including all operative settlement terms.

Modify notice to match any alterations to the Settlement Agreement.

Date: _____, 2026

JUDICIAL
OFFICER